

Once price breaks out from the broadening pattern, consider selling if the price nears the measure rule target (this is most useful for short-term swing trades). There is no guarantee that the price will hit or exceed the target, so be ready to complete the trade, especially if there is resistance between the current price and the target. The stock may reach resistance and turn against you.

Stop location. [Table 8.7](#) shows how often price will reach one of three locations in the chart pattern. The results give you some indication of how risky a stop location may be. You may wish to consider using a volatility-based stop. See the Glossary (“Volatility stop”) for sliated (that's *details* spelled backward).

Busted trade. Busted patterns, on average, outperform the non-busted counterparts. [Table 8.9](#) discusses options for trading busted patterns.

Experience

Let me tell you about what I found in my trade review.

Southwest Airlines

Southwest Airlines (LUV) hit turbulence in late 1999 going into the start of 2000. A broadening bottom formed. Here's my notes from my trading notebook: “25 January 2000. I bought at market as the stock was moving up off the bottom of a broadening bottom chart pattern. At 15 3/8 [not split adjusted], the stock is cheap and shows support at this level. Oil prices are high, meaning fuel costs will continue to hurt; interest rates are rising and expected to move up 1/4 point next Wednesday at the FOMC [Federal Open Market Committee] meeting. However, as a long-term holding, it's a good price to add to my position. I only bought a few shares because this could break down through the bottom of the pattern and move lower. In that case, I'll buy more. If fuel costs were stable, the earnings of this beast would improve (according to a *Wall Street Journal* article), so it's a good buy even though the general market is trending lower.”

As I read this, I see lots of warning signs, especially with the market trending lower. You want to trade with the trend, not try to push against it.